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WORLD • CHINA

China's Trade Surplus Surged Past $1 Trillion in October

Chinese exports continue to soar despite economic gloom and global trade tensions

By Katrina Northrop
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Exports have surged this year for Geely Automobile, one of China's largest EV makers. TIM FRANCO FOR WSJ

BEIJING—China's trade surplus surged to more than $1 trillion in the first 10 months of the year as the country's factories cranked out electric vehicles, semiconductors and industrial robots for customers around the world.

The export wave puts China on track to exceed its record $1.19 trillion trade surplus last year and is likely to further stoke tensions with Beijing's trading partners.

Exports rose 35% from a year earlier in October, according to official data released Tuesday, slightly down from 36% growth the previous month. Shipments to Europe rose by nearly a quarter year-over-year and to the U.S. by a third. The total surplus for the first 10 months of the year reached $1.04 trillion.

China is highly reliant on exports for growth as it reckons with economic weakness at home. The country is confronting a brutal property crash, sluggish consumer spending and high youth unemployment. Struggling to make profits at home, many Chinese companies have rushed overseas to find customers.

China's trade surplus with the world is roughly triple the level in 2019. The surge in its industrial activity is such that the country could be making 45% of the world's goods by 2030, according to the United Nations Industrial Development Organization, compared with 6% in 2000.

The deluge of exports is raising alarm in many countries, particularly in Europe, where officials worry that Chinese competition is hollowing out local industries. The Group of 20 has criticized China's overreliance on exports, and the International Monetary Fund warned Beijing in a September report that exports "cannot remain a major engine of growth."

The European Union and Beijing agreed to cap shipments of Chinese hybrid vehicles in talks last month. President Trump and Chinese leader Xi Jinping will likely discuss trade issues at an expected meeting in Shenzhen next week during the Asia-Pacific Economic Cooperation conference. The two superpowers extended a tariff truce in September after a painful trade war last year.

"Everyone is, in a sense, facing the same damn problem," said Brad Setser, trade expert at the Council on Foreign Relations and former senior adviser to the U.S. trade representative.

Beijing has pushed back against critics who say the export machine is a result of China's lopsided economic model and government support for key

industries, arguing that export gains are a result of innovation and global demand for Chinese products.

Chinese imports increased by more than 41% in October compared with a year earlier, according to the official data.



Attendees examine a display during the China International Industry Fair in Shanghai last month. QILAI SHEN/BLOOMBERG NEWS

The artificial intelligence boom has boosted China's export machine, as prices for chips and other computing equipment have risen sharply alongside demand for AI. Exports of integrated circuits increased by 111% in value in the first 10 months of the year, according to data released Tuesday.

China has "successfully cornered the market" for many components necessary for high-tech products, said Christopher Millward, former president of the U.S. Information Technology Office, a trade association representing U.S. tech firms in China. "It's part of a broader effort to really make China the dominant manufacturing force on the planet—and it's been successful."

Electric-vehicle exports have also ballooned as Chinese giants like BYD conquer global markets.

Geely Automobile, one of China's largest EV makers, sold over 300,000 vehicles last month, with exports of its EVs surging over 500% year-over-year. The Hangzhou-based company announced last week it had sold one

million units globally of its popular electric model, the Geely E2, averaging one car sold a minute over two years.

This export rise is unfolding as Chinese car companies grapple with fewer customers and intense price wars domestically. Through September, Chinese consumers have bought about 22% fewer passenger vehicles this year than in the same period in 2025.

Geely founder Li Shufu has warned against the bitter competition besetting local industry and pushing companies overseas. “We should not simply engage in price wars,” Li said in March, according to Chinese state media, criticizing what he called “excessive internal competition.”

It isn’t just cars and high-tech goods. China now makes nearly half of the global capacity for basic chemicals and plastic resins, according to a Rhodium Group report released last week.

Chinese capacity to produce several chemicals critical for manufacturing and agriculture have surged more than 75% from 2020 to 2025, the report found. Chemical exports from China are rising, especially to the developing world, as demand for chemicals softens at home.

State-owned Sinopec’s chemical exports expanded by 70% year-over-year to reach a “historic high” in the first half of this year, according to a company release.

—Grace Zhu contributed to this article.

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